

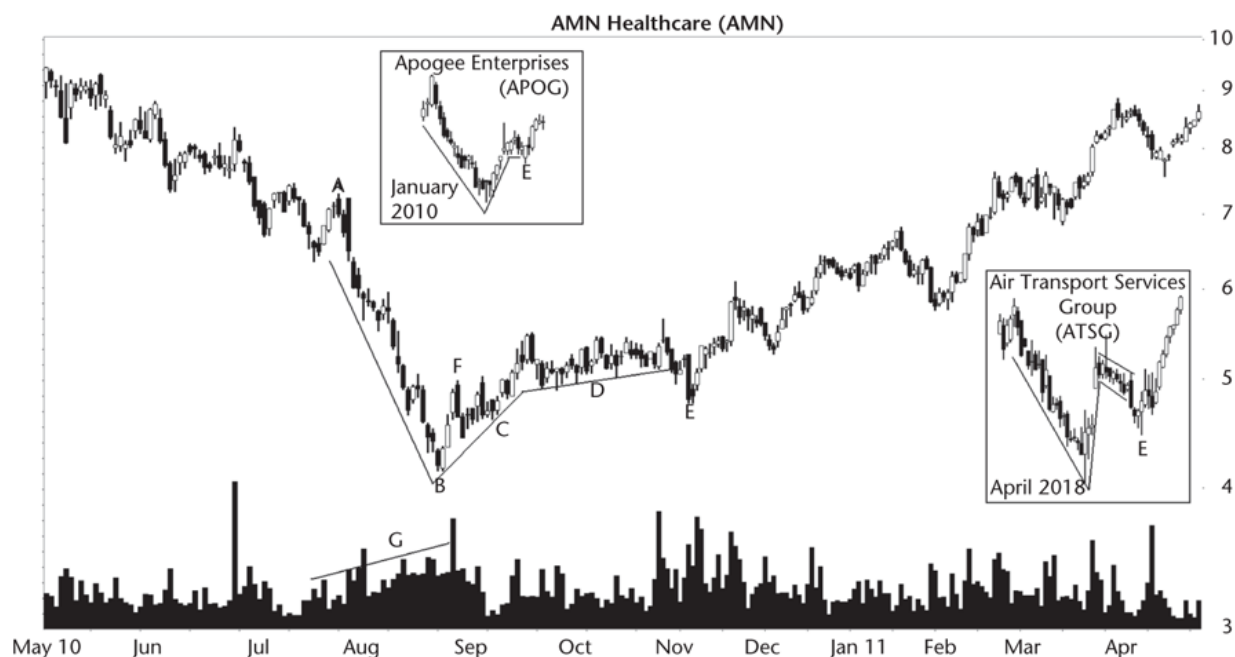


Figure 70.2 This extended V-bottom has a minor drop before the pattern completes. The two insets show variations.

I see that short drop at E frequently (about 25% of the time) in extended V-bottoms. In this example, the bottom of the extension is diagonal (D), but we see an E-type plunge in horizontal (APOG inset) and even down-sloping (ATSG inset) handles.

Plunge. I set a minimum drop of 15% on the left side of the V (from A to B). However, the drop is usually more extensive than that, averaging 29%.

Extension. The extension of the V sees price move horizontally to down. If the stock drops during construction of the extension, it should not fall far enough to make a second bottom (as in a double bottom). In the best-looking extended V-bottoms the extension will be horizontal, and that's more common than you might think (but it's not like you'll see it in the grocery aisles).

Often you'll see a short downward retrace of the move up from the bottom of the V. In other words, the extension will tilt downward. We see that in inset ATSG.

Volume. Volume trends downward 68% of the time from the start of the V (A) to the end of the extension (C). Often you'll see low volume at the start. As price approaches the bottom of the V, volume typically increases, being